Faculty of Business Studies

ACC204

Intermediate Financial Accounting

Final Examination - Version B

Second Semester 2025-2026

15 – June – 2026

Number of Exam Pages: 3 (including this cover sheet)	**Time Allowed: 2 hours**

Instructions:

1- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
2- Mobile phones must be in "SWITCHED **OFF"** mode throughout the examination.
3- This is a **CLOSED** book examination. NO documents of any kind are allowed.
4- You **MUST** answer the questions using only the answer booklets provided
5- You **MUST** return the examination paper together with your answer booklets.
6- Do **NOT** write your answers in pencil except graphs/sketches
7- Students are **NOT** allowed to use any type of dictionary or mobile phones during the examination
8- Students are allowed to use ***non-programmable*** calculators only (if needed).
9- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

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- **Question 1 (20 marks):**

a. What are the advantages of leasing for lessors? (10 marks; mention 4 advantages; 2.5 marks for each one)

b. If one corporation acquires a voting interest of more than 50 percent in another corporation, what type of interest does it hold? State the characteristics of this relationship. (10 marks)

- **Question 2 (41 marks):**

Winchester purchased $100,000 of 6 percent bonds of Kensington on January 1, 2024, at a discount, paying $94,758. The bonds mature January 1, 2027 and yield 8 percent; interest is payable each July 1 and January 1.

Required:

a. Record the journal entry for the investment on January 1, 2024.
b. Prepare the full interest revenue schedule (i.e. bond amortization schedule) for the debt investment. Show your calculations for the first semiannual payment.
c. Record the journal entry for the receipt of the first semiannual payment on July 1, 2024.
d. Winchester is on a calendar-year basis. Record the journal entry for the accrued interest from the second semiannual payment on December 31, 2024.

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- **Question 3 (39 marks):**

The statement of financial position data of Eric Company. at the end of 2022 and 2021 are as follows:

	2022 ($)	**2021 ($)**
Equipment	45,000	37,500
Accumulated Depreciation - Equipment	(9,000)	(4,000)
Land	20,000	20,000
Inventory	31,000	22,500
Accounts Receivable	27,500	22,500
Prepaid Expenses	7,500	12,500
Cash	21,000	17,500
Total Assets	**143,000**	**128,500**
Share Capital – Ordinary, $10 par	79,500	79,500
Retained Earnings	8,500	2,500
Notes Payable – Bank, Long-term	0	11,500
Bonds Payable	15,000	0
Accounts Payable	32,500	26,000
Accrued Expenses	7,500	9,000
Total Liabilities and Equity	**143,000**	**128,500**

Note: All equipment purchased was for cash. Net income was $6,000 for the year 2022.

Required: Prepare a statement of cash flows for the year 2022 using the indirect method.

[End of Questions]

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